MARUTI SUZUKI INDIA LTD

NSE: MARUTI · Passenger vehicles (cars, SUVs, vans), LCV, exports · Largest PV maker in India

Initiation of coverage · 19 October 2026 · prices as of 16-Oct-26

RATING	CMP	12M TARGET (BLEND)	PRICE UPSIDE / DIV. YIELD
HOLD	**₹11,489**	**₹11,550**	**+0.5% / 1.2%**
model-based, medium conviction			

Key data

Market cap (Screener)	₹3,61,217 cr
Shares	31.44 cr (₹157.2 cr / ₹5)
High / low (Screener)	₹17,372 / ₹11,125
Price / book (derived)	3.4x (BV ₹3,408)
P/E (trailing, Screener)	25.2x
ROE / ROCE (Screener)	14.3% / 18.9%
Dividend (FY26)	₹140/sh (1.2% yield)
Promoter / FII / DII	58.65% / 12.82% / 25.09%
Cash & investments	₹59,001 cr; no debt (ICICI Sec.)
Q2 FY27 results due	27 Oct 2026

BUSINESS

Maruti Suzuki sold 2.42 million vehicles in FY26 (1.97M domestic incl. 0.11M to other OEMs; 0.45M exports, 49% of India's PV exports). Domestic PV share was 39.3% in FY26 and 41.2% in Q1 FY27. Capacity is about 2.9M units a year (Jul-26) after Kharkhoda Phase 2 and Hansalpur Line 4, with a 4M target by FY30–31. FY26 net sales ₹1,74,370 cr; PAT ₹14,445 cr; no debt.

INVESTMENT VIEW

- **Demand reset.** GST 2.0 (22-Sep-25) cut small cars from 28% to 18%. Q1 FY27 volume +29.3% to 682,724; small cars +34.1%, SUVs +44.6%; Jul–Sep 2026 volume 696,654 (+26.5% vs Q2 FY26).
- **Supply-constrained, not demand-constrained.** Order book ~130,000, dealer stock ~13 days; capex ₹14,000 cr in FY27; management guides ~10% domestic growth.
- **Margins are the problem.** Q1 FY27 EBITDA margin 8.6% (12.6% a year ago): material cost 80.5% of sales (+600 bps), ~110 bps from a temporary supplier-settlement change. Price hikes in June/Aug/Sep and easing aluminium are the recovery levers.
- **Valuation.** DCF (cost of equity 12.1%, g 5%) ₹9,394 12M; 26x our FY28E EPS ₹526 = ₹13,670; 50:50 blend ₹11,550. The stock is ~34% below its high; our target is close to the current price.

KEY RISKS

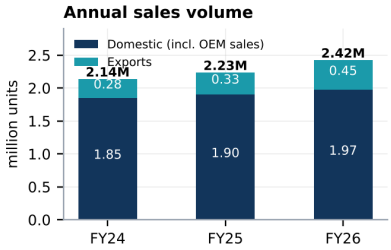
- Commodity (aluminium, PGM, steel) and forex; West Asia conflict cited by management.
- CAFE-III norms from 1-Apr-27; small-car relief dropped in the final rules.
- Competition: Tata ~13.0%, Mahindra ~13.4% FY26 share; FII stake down from 21.85% (Sep-23) to 12.82%.
- Execution of 0.5M new capacity and seven new SUVs by FY31.

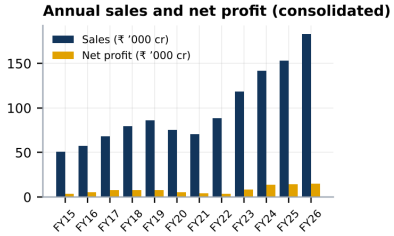
CATALYSTS

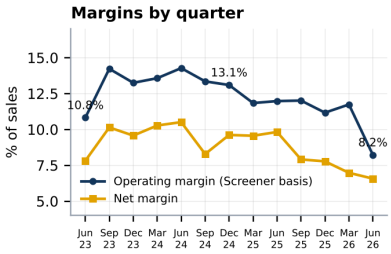
- **27 Oct 2026:** Q2 FY27 results (margin vs 8.6%).
- Quarterly price hikes; commodity settlement cycle reverting to quarterly.
- e-Vitara ramp from Gujarat line; festive-season retail.

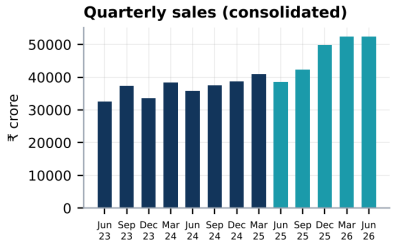
FINANCIAL SUMMARY (FY24–FY26 reported, FY27E–29E our estimates)

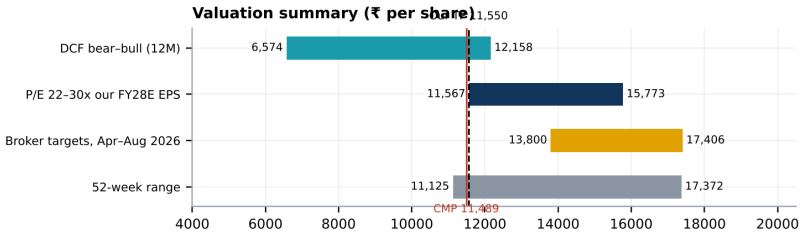
₹ crore (standalone)	FY24	FY25	FY26	FY27E	FY28E	FY29E
Volume (million units)	2.14	2.23	2.42	2.74	2.93	3.11
Net sales	1,34,938	1,45,098	1,74,370	202,760	222,377	241,613
Operating EBITDA	–	20,149	21,450	20,276	25,129	28,994
EBITDA margin	–	13.9%	12.3%	10.0%	11.3%	12.0%
Net profit	13,209	14,298	14,445	13,243	16,530	19,150
EPS (₹)	420	455	459	421	526	609
P/E at CMP (x)	27.4	25.3	25.0	27.3	21.9	18.9
Dividend per share (₹)	125	135	140	–	–	–











SCENARIOS (OUR DCF)

Scenario (own assumptions)	Bear	Base	Bull
FY31E volume (M units)	3.11	3.46	3.74
Steady-state EBITDA margin	10.8%	12.5%	13.8%
DCF value today (₹)	5,862	8,376	10,841
DCF 12M value (₹)	6,574	9,394	12,158

LATEST RESULTS

Q1 FY27 (31-Jul-26, standalone)	Figure
Volume (domestic / exports)	6,82,724 (+29.3%) / 5,57,988 / 1,24,736
Net sales	₹49,959 cr (+36.4%)
EBITDA / margin	₹4,311 cr (−6.7%) / 8.6%
Net profit / EPS	₹3,352 cr (−10.8%) / ₹106.6
Domestic PV share	41.2% (+230 bps)
Brokers after Q1	Buy ₹16,450 (ICICI Sec.); Accumulate ₹15,900 (Arihant)

Sources: Maruti Suzuki Q1 FY27 and Q4 FY26 investor presentations; ICICI Securities (29-Apr-26, 3-Aug-26) and Arihant Capital (8-Aug-26) result updates; Q2–Q4 FY26 call transcripts; SIAM/ICRA via Autocar Professional; Screener (16-Oct-26). Chart caveats: annual/quarterly charts use Screener consolidated data; the table uses company standalone data; FY24 EBITDA not disclosed in our sources. Estimates, beta (0.95) and target multiple are our assumptions. **AI-assisted analysis; not investment advice.**